

pursue alternative career paths or investment opportunities that would seem risky otherwise. Actions enabled by your newfound confidence can throw gas on an already growing fire (pun most certainly intended).

The average American saves only about 5 percent of their income. Those on the path to FI often have savings rates of 30 to 50 percent, with some reporting saving more than 80 percent of their incomes.

Regardless of how much you earn, you must save some of it to create the initial wealth that can grow and compound to create FI. There is great variability within that construct. FI requires relative frugality, not extreme frugality. Let's explore what that means to some people in the FI community.

Lean FIRE vs. Fat FIRE

MMM is incredibly popular among the FI community. The blog reports an early retirement household budget of about \$25,000 annually. *Early Retirement Extreme* (ERE) was the most popular FIRE blog when I was introduced to the concept around 2011. Its author, Jacob Lund Fisker, retired quickly by living on less than \$10,000 per year.